Accent Microcell Ltd CONCALL TRACKER

A maker of pharmaceutical "excipients" — the inactive filler and binder powders that hold a medicine tablet together. Its main product is microcrystalline cellulose (a fine white powder made from wood pulp, used to bulk out and bind pills).

Screener ticker: ACCENTMIC (NSE SME) · Report date: 05 July 2026 · Transcripts read: 3 (May 2025, Aug 2025, May 2026) · Figures are standalone from Screener; call figures used where management gave more detail.

1. Snapshot

Accent Microcell buys wood pulp, and through blending and particle-sizing turns it into microcrystalline cellulose (MCC) and higher-value cousins — croscarmellose sodium (CCS, a "disintegrant" that helps a tablet break up in the stomach), carboxymethyl cellulose (CMC), sodium starch glycolate (SSG) and MCC spheres. It sells to drug, food, cosmetic and welding-electrode makers in 75-plus countries. It runs two plants (Piranha, aimed at India; Dahej special-economic-zone, aimed at exports) and is building a third plant, "Unit 3", in phases.

Number (FY26 = year to 31 Mar 2026)	Value	Plain-English read
Sales	₹349 crore	Total money from selling its powders in the year — up about a third from ₹265 crore last year. But a big slice of this jump was low-margin "trading" (see below), not its own manufacturing.
Operating profit / margin	₹57 crore / 16%	Profit from the core business before interest and tax; 16 paise of every sales rupee. The margin has been stuck around 16% for two years.
Net profit	₹44 crore	The final take-home profit after all costs and tax — up from ₹33 crore, so growing but slower than sales.
Market value / P/E	₹1,209 crore / 27.6	What the whole company is priced at on the market; investors pay ₹27.6 for every ₹1 of yearly profit — a fairly rich price that already expects growth.
Return on capital (ROCE)	24.9%	For every ₹100 of capital in the business it earns ₹24.9 a year — a healthy, above-average return.
Borrowings	₹1 crore	Almost no debt — the company is effectively debt-free and funds growth from a rights issue and its own cash.
Money tied in unpaid bills (debtor days)	95 days	It waits about 95 days to get paid, up from 70 two years ago — a mild warning sign that cash is getting stuck in receivables.

2. Concall coverage

This company only listed in 2023 and holds calls roughly twice a year, so the history is short. All three available transcripts were read end-to-end.

Call	Date	Transcript read?
FY25 full-year earnings call (its first ever)	17 May 2025	Yes — full 36 pages
General investor meet	07 Aug 2025	Yes — full 42 pages
H2 & FY26 full-year earnings call	16 May 2026	Yes — full 28 pages

Span: about one year of calls (3 calls). With so few calls, the "consistency" read below is necessarily limited — but the same flagship promise appears in all three, so it can still be tracked.

★ Latest concall highlights — H2 & FY26 (16 May 2026)

- **Results up strongly on paper:** Full-year sales rose to ₹349 crore from ₹265 crore (about +32%) and net profit to ₹44 crore from ₹33 crore. Plain read: the top line grew fast, but profit grew slower because much of the extra sales was low-profit trading.
- **Growth was trading-heavy:** Of ~₹350 crore sales, roughly 25% (~₹90 crore) was "trading" — buying semi-finished MCC, lightly processing it and reselling at only 4-5% profit. Total volume sold was ~15,000 tonnes against own capacity of ~10,000 tonnes. Plain read: the company padded its own output by reselling other people's material to keep customers, which flatters sales but not margins.
- **The big project slipped again:** Unit 3 Phase 1 (premium products) was promised for Oct 2025, then April 2026, and is now expected "around 25 June 2026", still waiting on a pollution-control licence. Phase 2 (the large MCC line) moved from July 2026 to about FY28. Plain read: the main growth engine still produced zero commercial sales as of this call.

- **New product angle:** Management says it will be the first in India to make CMC and CCS from wood pulp (rivals use cotton), after 8 years of research, targeting ₹400/kg domestic and ₹800-900/kg export prices. Plain read: a genuine niche if it works, but unproven at commercial scale.
- **Tone:** Confident on demand (about 4,000 tonnes of orders on hand) but repeatedly guarded on timelines and refuses profit guidance. Several investors openly complained the company talks to them only twice a year with 10-month gaps.

Business mix & capacity — quick facts

- **Exports vs India:** Roughly 63% exports / 37% domestic in FY26 (up from 53% export in FY25). Plain read: nearly two-thirds of sales are now overseas, and the export share is rising.
- **Capacity use:** Existing plants run near flat-out — Piranha at ~100% and Dahej at ~95%. Installed own-capacity is ~9,200-10,000 tonnes a year. Plain read: there is almost no room left to grow without the new Unit 3, which is exactly why the delay matters so much.

3. Earning-trigger thesis

What management says will grow profits

The whole story rests on one thing: **Unit 3, a new third plant.** Phase 1 adds 2,400 tonnes of premium value-added excipients (CCS, CMC, SSG) that sell for ₹600-700 a kilo versus ₹180-300 a kilo for ordinary MCC, at much fatter margins (management claims ~25% net margin on that unit alone). Phase 2 later adds 12,000 tonnes of MCC — roughly doubling total capacity. On top, a peer's plant accident (Sigachi) has lifted industry demand and prices, and Accent claims a first-in-India edge in wood-pulp-based CMC. If it all lands, revenue could roughly double over a few years. The catch: as of the latest call, Unit 3 has produced nothing and has been delayed twice.

Trigger	What management said	Evidence so far	Time horizon	Strength (my read)
Unit 3 Phase 1 — premium excipients (CCS/CMC/SSG)	2,400 t at 3-4x MCC price; ~25% standalone net margin; peak ~₹150 cr revenue; orders in hand	Samples made, staff hired, tech transferred, ~4,000 t orders on hand — but no commercial output yet	Now expected ~June 2026 (already 8 months late)	**Unproven — concrete and live, but repeatedly delayed and not yet earning a rupee**
Unit 3 Phase 2 — 12,000 t MCC (doubles capacity)	Doubles output; funded by rights issue + internal cash; peak ~₹275 cr	Land bought, construction ongoing	Slipped from Jul 2026 to ~FY28	**Unproven — far out and timeline has already moved a year**
Industry tailwind after peer (Sigachi) accident	Extra demand and firmer MCC prices; ~5-7% price uplift	Management says inquiries and prices rose; existing plants sold out	Near term, may fade	**Moderate — real but temporary and outside Accent's control**
First-in-India wood-pulp CMC / premiumisation (MCC spheres, SMCC)	8 years of R&D; higher-margin niche; only Indian pulp-based maker	MCC-spheres already exported (90% of that small volume); CMC not yet at scale	Ramps with Unit 3	**Unproven at scale — promising story, tiny numbers today**

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2025	Unit 3 Phase 1 live by Sept-Oct 2025; Phase 2 by June 2026; ₹70 cr first-year revenue from Phase 1	Both dates later slipped; Phase 1 not live even by May 2026	Missed
Aug 2025	Reaffirmed Phase 1 by end-Oct/early-Nov 2025; Phase 2 July 2026; 15-20% group growth over 3-5 years; margins to rise to 20-22%	Phase 1 missed again; margin still ~16%; growth came but via low-margin trading	Partly / Missed
May 2026	Phase 1 now ~June 2026 (pending licence); Phase 2 ~FY28; blended margin to rise 2-3 points once premium products ramp	Too early — depends on the same delayed plant finally starting	Too-early
FY26 headline delivery	Grow the business	Sales +32%, profit +33% — genuinely delivered on the top line	Delivered

Narrative drift: The core story (premium Unit 3 excipients) has stayed the same across all three calls — that is a plus. But the **timelines have moved every single time**, and the **quality of the FY26 growth drifted** toward low-margin resale of bought-in material rather than the promised high-margin new products. Management has been reasonably open about the numbers and honest that trading margins are thin, but investors repeatedly flagged two governance niggles: the company communicates rarely (only two calls a year, 10-month gaps) and disclosed the Unit 3 delay slowly. There are also promoter-related transactions (a ₹6 crore property purchase from promoters) and a small ₹4.11 crore green-tribunal contingency, both flagged as minor. The tone has stayed confident throughout, arguably a touch too confident given the repeated slippage.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There *is* a clear, concrete and still-live driver: a new plant (Unit 3) with higher-value products, near-doubled capacity, orders reportedly in hand, and a genuine industry tailwind. That is more than most small companies can show. But it earns a MAYBE, not a YES, for one hard reason — **it has not produced a single commercial rupee yet**, and its start date has already slipped from October 2025 to (hopefully) June 2026, with Phase 2 pushed out by a year. Until the plant actually runs and the premium products sell at the promised margins, the trigger is plausible but unproven. The FY26 revenue growth that did happen leaned heavily on thin-margin trading, so it does not yet prove the thesis.

Management consistent? → MAYBE

Mixed record. On the plus side, the story has stayed steady, headline sales and profit genuinely grew, the balance sheet is clean (almost no debt), and management is candid about numbers including the unflattering trading margins. On the minus side — and this is not softened — the single most important promise, the Unit 3 timeline, was **missed in two consecutive calls**, the growth quality drifted toward low-margin trading, the company gives no guidance, talks to investors only twice a year, and was slow to disclose the delay. That is a "watch closely" profile, not a proven track record: MAYBE, leaning cautious. The next one or two calls — showing whether Unit 3 finally starts and premium margins appear — will decide whether this becomes a YES or a NO.